THE JAPANESE CHAMBER OF COMMERCE & INDUSTRY

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SOCIALIST REPUBLIC OF VIETNAM
Independence – Freedom - Happiness

No. 24/2018JCCI

Hanoi, Nov 23rd 2018

Re: Implementation of Decree 09/2018/ND-CP

Respectfully to: **Ministry of Industry and Trade**
Ministry of Planning and Investment

First of all, the Japanese Chamber of Commerce and Industry in Vietnam ("**JCCI**") would like to express our sincere gratitude to the Ministry of Industry and Trade for your proactive and valuable support in the 7th phase of Vietnam-Japan Joint Initiative ("**VJJI-Phase 7**").

In order to facilitate our compliance with the new regulations on goods trading in Vietnam after researching and comparing the experience of our members operating in Vietnam, we would like to kindly request for written guidelines from Your Excellency for the following concerns in relation to the application of Decree 09/2018/ND-CP of the Government dated 15 January 2018 on trading of good and activities directly relating to trading of goods of foreign investors and foreign-invested organizations ("**Decree 09/2018/ND-CP**"):

1. Demarcation between retail and wholesale activities

We understand that under the former regulations on goods trading (i.e., Decree No. 23/2007/ND-CP of the Government dated 12 February 2007), "retail activities" means the direct sale of goods to end-users. Accordingly, it was interpreted that the sale of goods to organizations, including enterprises, is classified as wholesale, rather than retail. However, Decree 09/2018/ND-CP redefined the definition of "retail activities" as activities of selling the goods to individuals, households and other organizations for their use for the purpose of consumption. In relation to such new definition of "retail activities" in Decree 09/2018/ND-CP, there is a concern as to whether the sale of goods to enterprises for their own use falls in the category of "retail activities".

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When the representatives of our member company met with MOIT officials as a part of the activities of Japan Vietnam Joint Initiative on July 25, 2018 at 3:00 p.m., the MOIT officials in charge answered that selling the goods by a foreign-invested enterprise established in Vietnam ("**FDI Enterprise**") to another enterprise for its use (not for resale) falls in a category of wholesale rather than retail activity, regardless of whether the FDI enterprise sells the machines to another enterprise for its own use or whether the FDI enterprise sells to another enterprise the goods such as bottles of water or clothes to be used for its employees to be placed at the facilities of another enterprise.

However ,we note that recently Official Letter 6219/BCT-KH issued by the Ministry of Industry and Trade dated 07 August 2018 ("**Official Letter 6219**") was issued and Article 1(b) of the Official Letter 6219 provides the guidance on Decree 09/2018/ND-CP to IPIC Law Firm, which provides that sale of goods to organizations for their consumption (for example, when representative offices of foreign traders or enterprises purchase food, drinks or stationeries for daily consumption or usage of their employees) without using such goods directly in the manufacturing process or in providing services in accordance with the registered investment objectives and business lines of the relevant enterprises, would be deemed as retail.

This Official Letter 6219 has a serious negative impact on the FDI enterprises including our member enterprises which have only wholesale licenses but had sold the goods to the other enterprises for the use of the employees of the other enterprises.

Even if the goods sold are used for the employees of the buyer enterprises, as those goods are used while they work in the buyer enterprises facilities such as the offices and factories, those goods are used in the course of and for those enterprise's production or service provision.

Thus, there is no reason to distinguish the cases in which the goods such as machines are sold to the other enterprise are directly used for the production of the service of that enterprise and the cases where the goods such as bottles of drink or clothes are sold to the other enterprises for the use of the employees while they work at the facilities of those enterprises. Also, it may be impossible for the FDI enterprises to know in advance whether or not the goods such FDI enterprises sell will be used "directly in the manufacturing process or in providing services" by the buyer.

Therefore, JCCI would like to kindly request for your confirmation that both of the following cases fall in a category of wholesale and not retail:

(i) Sale by the FDI Enterprise to another enterprise operating in Vietnam of goods which will be used for those enterprise's production or service provision (such as machines or raw materials) falls in wholesale activity; and

(ii) Sale by the FDI Enterprise to another enterprise operating in Vietnam of goods which will be used by employees of that enterprise while they work in the office or factory of such enterprise (such as bottles of water, clothes or refrigerator) falls in the category of wholesale activity.

If, regardless our foregoing arguments, you insist that the sale by the FDI Enterprise described in item (ii) above is retail, please provide guidance in the case where the FDI Enterprise has both the sale described in item (i) and the sale described in item (ii). How can the FDI Enterprise determine whether a buyer purchases goods for its consumption purposes or production purposes and what are evidences to be established and archived (e.g. contract, written confirmation by buyer)? It is unreasonable if the FDI Enterprise is considered to be conducting retail activities even when its sale described in item (ii) counts for a minor part of its total sale.

2. Application of Decree 09/2018/ND-CP to the second tier enterprise in the two-tier investment structure

Based on Decree 09/2018/ND-CP, we understand that in addition to foreign-invested companies (of which the charter capital is owned by a foreign investor, regardless of the percentage) ("**F1 Company**"), economic organizations as mentioned in Article 23.1(b) and (c) of the Law on Investment engaging in goods trading shall be subject to these regulations (such as obtaining a trading license for retail activities and permission for establishment of the retail shop and economic needs test ("**ENT**")).

Based on the abovementioned regulations, we kindly request for your confirmation of our understanding that the provisions of Decree 09/2018/ND-CP shall not be applicable to an economic enterprise (*in other words, such enterprise shall not be subject to trading license and/or permission for establishment of retail shop and/or ENT when engaging in retail activities in Vietnam*), if:

(i) it is established by and wholly owned by F1 Company, and

(ii) F1 Company's foreign ownership is less than 51%.

3. Transition period between purchase by a foreign investor of shares in a Vietnamese enterprise engaging in goods trading and related activities and obtaining all sufficient license/permission

We understand that according to Article 5.6 of Decree 09/2018/ND-CP, if a foreign investor purchases or subscribes to the shares of a domestic enterprise (the target enterprise) which engages in goods trading and related businesses subject to licenses under Decree 09/2018/ND-CP, such as retail business and establishment of a retail shop (the target business), the target enterprise must obtain the required licenses such as trading license and the permission for the establishment of a retail shop when receiving capital contribution/investment from the foreign investor.

In practice, it will take the target enterprise a while to obtain such license/permission after the purchase or subscription by the foreign investor of the shares. In particular, when the target enterprise owns and operates multiple retail shops, it is anticipated that it will take a long time to obtain the confirmation to pass the ENT for all of its retail shops. However, Decree 09/2018/ND-CP is silent as to whether the target company can continue its current businesses until it has obtained all the sufficient license/permission.

As to this issue, please kindly confirm our understanding that in such case, the target enterprise can continue operating the target business while waiting to obtain the relevant trading license, the permission for the establishment of a retail shop, and confirmation of passing the ENT; otherwise, the target company's operation might suffer serious economic damage.

4. Sale of goods conducted by the FDI Enterprise manufacturing the goods sold in Vietnam

We understand that Decree 09/2018/ND-CP is applicable to enterprises conducting goods trading and other related activities as mentioned in Article 5.1 of Decree 09/2018/ND-CP. The goods trading should be understood as the purchase and sale of goods manufactured by other entities. As such, please confirm our understanding that the sale by the FDI Enterprise of goods it produces does not fall within the governing scope of Decree 09/2018/ND-CP, even though the definitions of "wholesaling" and "retailing" do not specifically exclude such activities. In other words, an FDI manufacturing company shall not be subject to a trading license and permission to establish one or more retail shops if it distributes its own products only.

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We are pleased to express our appreciation to the Ministry of Industry and Trade and respectfully hope that the Ministry of Industry and Trade would continue supporting us./.

Recipients:
- As above;
- Embassy of Japan in Vietnam;
- The Japanese Chamber of Commerce and Industry in Ho Chi Minh City;
- The Japanese Chamber of Commerce and Industry in Danang;
- Save JCCI Office.

THE JAPANESE CHAMBER OF

COMMERCE AND INDUSTRY IN VIETNAM

Chairman

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BAN LÃNH ĐẠO

Koji ITO